

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

M.E. DEY & CO., INC., *Complainant*

v.

HAPAG-LLOYD AG AND HAPAG-LLOYD (AMERICA) LLC,
Respondents and Third-Party Complainants

v.

CSX TRANSPORTATION, INC., *Third-Party Respondent.*

DOCKET NO. 22-35

Served: August 27, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge.*

**INITIAL DECISION APPROVING CONFIDENTIAL SETTLEMENT
AGREEMENT¹**

On June 17, 2024, Complainant M.E. Dey & Co., Inc. (“Dey”) and Respondents Hapag-Lloyd AG and Hapag-Lloyd (America) LLC (“Hapag”) filed a joint motion seeking approval of a confidential settlement agreement and dismissal with prejudice (“Settlement Motion”) with a copy of the confidential settlement agreement.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission’s Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where “time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, “the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). “Unless the order states otherwise, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3).

The Commission has a strong and consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978)). See also *Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy....The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims....The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A Am. Jur. 2d *Compromise and Settlement* § 3 (1976)).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal*, 18 S.R.R. at 1092. However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, Docket No. 88-2, 1988 WL 340657 at *7 (FMC 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, Docket No. 07-01, 2009 WL 971291, at *2 (FMC, Apr. 1, 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

On June 14, 2024, the Commission decided to review the Administrative Law Judge’s May 17, 2024, Order Granting Third-Party Respondent CSXT’s Motion to Dismiss the Third-Party Complaint and Resetting Briefing Schedule (“Dismissal Order”). See 46 C.F.R. § 502.227. However, shortly after the Commission’s decision to review the Dismissal Order, Dey and Hapag filed the Settlement Motion on June 17, 2024. In the Settlement Motion, Dey and Hapag state

their mutual desire to discontinue this proceeding in its entirety upon approval of the confidential settlement agreement. Settlement Motion at 4.

On June 28, 2024, CSXT filed Third-Party Respondent's Request for Status Conference on Complainant and Third-Party Complainants' Joint Motion for Approval of Confidential Settlement ("Request for Status Conference"), wherein they requested a conference with me "to discuss procedural questions pertaining to the [Settlement Motion] filed by Dey and Hapag. Request for Status Conference at 1. On July 2, 2024, in my Order on Third-Party Respondent's Request for Status Conference ("Order on Status Conference"), I denied CSXT's request for a status conference and allowed them to file a response to the Settlement Motion. Order on Status Conference at 2.

On July 11, 2024, CSXT filed Third-Party Respondent's Opposition to Complainant and Third-Party Complainants' Joint Motion for Approval of Confidential Settlement ("Opposition"), arguing that action on the settlement would be procedurally inconsistent under 46 C.F.R. §502.227(a)(5), which holds an initial decision under review "inoperative until the Commission determines the matter;" and that approval of the settlement and request for dismissal would not resolve all issues on the docket, allegedly using up judicial resources and prejudicing the rights of CSXT. Opposition at 2, 5, 7, 9; citing, e.g., *Banfi Products Corp., et al. – Possible Violations of Section 16, Initial Paragraph, Shipping Act, 1916 and Section 10(A)(1) of the Shipping Act of 1984*, Docket No. 87-14, 1993 WL 435699 at *1-2 (ALJ Sept. 14, 1993); and *APM Terminals North America, Inc. v. PANYNJ*, FMC Docket No. 07-01, 2009 WL 971291 at *3 (FMC April 1, 2009).

Upon the FMC deciding to review an initial decision, such decision becomes inoperative until the Commission determines the matter. 46 C.F.R. § 502.227(a)(5). CSXT cites *Banfi*, contrasting it with the case at hand, stating:

Unlike the reasoning in *Banfi Products* finding that '[c]learly, settlement of this proceeding serves the public interest by saving public and private time and funds, and by bringing to immediate conclusion a case which may well have been in trial or on appeal for several more years,' here the proceeding would not end, based on Dey and Hapag's own allegations and arguments, and thus the ALJ would be presented with deciding the same issues that Dey and Hapag purportedly seek to settle.

Opposition to Settlement at 8. (citing *Banfi*, WL 435699 at *2).

CSXT does not adequately explain how approval of the Settlement Motion would prejudice them or "impair CSXT's right to file exceptions to the Commission and/or subsequent standing to pursue further review." Opposition to Settlement at 3, 9-10. In federal district courts, third-party actions routinely continue after the primary parties settle. *See, e.g., Kennedy v. Lankenau Hosp. Jefferson Health Sys.*, 1999 WL 782527 (E.D. Pa. 1999) (court retained jurisdiction over a third-party complaint for indemnification after the main negligence action was dismissed following settlement); *General Star Indem. Co. v. Oakwood Bldg. & Development Co.*, 2009 WL 151526 (D. Colo. 2009) (court retained ancillary jurisdiction over the third-party claims and such jurisdiction was not lost upon the settlement of the central claims; court has discretion to retain or dismiss third-party claims after the settlement of the central claims).

Commission practice is consistent with that of the district courts. For example, in *APM Terminals North America v. Port Authority of N.Y. and N.J.*, the Commission rejected third-party Maher Terminals, LLC's argument that approval of a settlement agreement between the primary parties would prejudice Maher, noting that Maher's countercomplaint against the Port Authority could continue. Docket No. 07-01, 31 S.R.R. 623, 626 (FMC April 1, 2009) (denying Maher's exceptions to the initial decision approving settlement and consolidating Maher's countercomplaint into a related case). Once the settlement between Dey and Hapag is approved, the Commission may approve that initial decision and continue its review of the order dismissing Hapag's third-party claim against CSXT, which may be remanded for further proceedings regardless of whether the claims between Dey and Hapag are still part of the case. The Commission may stay approval of the Dey/Hapag settlement pending the outcome of its review of the third-party dismissal or may reject the settlement and remand for further proceedings. Regardless, CSXT does not explain how the above outcomes prejudice CSXT's rights with respect to Hapag's claims. Nor does CSXT explain how placing all issues in the case before the Commission would involve greater use of resources than staying the settlement between the primary parties while the third-party claim is before the Commission.

Having dealt with the procedural questions, the issue is whether the settlement is "fairly made and not in contravention of some law or public policy." *Old Ben Coal*, 18 S.R.R. at 1092. The settling parties state:

In this action, the parties, both sophisticated corporate entities, arrived at the Confidential Settlement Agreement through arm's length negotiations and support this motion and the relief that it seeks. The Confidential Settlement Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any third parties or the shipping public. Instead, the Confidential Settlement Agreement is a fair and reasonable resolution of the dispute between the parties and reflects their desire to resolve their issues without the need for costly and uncertain litigation. For these reasons, the Parties respectfully request that the Confidential Settlement Agreement be approved and, on that basis, the complaint in this matter be dismissed with prejudice.

Settlement Motion at 3.

Based on the representations in the Settlement Motion, the parties have established that the settlement agreement, dated June 17, 2024, does not appear to violate any law or policy, or contain other defects which might make it unapprovable. The parties are represented by counsel and have engaged in arms-length settlement discussions. The proceeding would require potentially expensive briefing. The parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation.

Confidentiality

The parties request that the settlement agreement be kept confidential. Pursuant to Commission Rule 5(b), parties may request confidentiality. 46 C.F.R. § 502.5(b); see also 46 C.F.R. § 502.141(j). "If parties wish to keep the terms of their settlement agreements

confidential, the Commission, as well as the courts, have honored such requests.” *Al Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, Docket No. 00-04, 2000 WL 1920488, at *3 (ALJ Dec. 14, 2000) (citations omitted); *Marine Dynamics v. RTM Line, Ltd.*, 27 S.R.R. 503, 504 (ALJ 1996); *Int’l Assoc. of NVOCCs v. Atlantic Container Line*, 25 S.R.R. 1607, 1609 (ALJ 1991).

The confidential settlement agreement has been reviewed by the undersigned and is available to the Commission. Given the parties’ request for confidentiality, confidential information included in the settlement agreement, and the Commission’s history of permitting agreements settling private complaints to remain confidential, the parties’ request for confidentiality for the settlement agreement is granted. The settlement agreement will be maintained in the Secretary’s confidential files.

Upon consideration of the motion and opposition, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the joint motion to approve the settlement agreement between Complainant M.E. Dey & Co., Inc., and Respondents Hapag-Lloyd AG and Hapag-Lloyd (America) LLC be **GRANTED**; it is

FURTHER ORDERED that the request for confidential treatment be **GRANTED**; and it is

FURTHER ORDERED that Complainant M.E. Dey & Co., Inc.’s complaint against Respondents Hapag-Lloyd AG and Hapag-Lloyd (America) LLC is hereby **DISMISSED WITH PREJUDICE**.

ALEX
CHINTELLA

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ALEX CHINTELLA
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Alex M. Chintella
Administrative Law Judge